

professional money managers were unable to offset the uninformed opinion of the ignorant masses engaged in public speculation, they would move away from investment and toward speculation, becoming speculators themselves. So, fully 70 years ago, he warned us: “When enterprise becomes a mere bubble on a whirlpool of speculation [and] the capital development of a country becomes a by-product of the activities of a casino, the job of capitalism is likely to be ill-done.”

In the short run, investment returns are only tenuously linked with speculative returns. But in the long run, both returns must be—and will be—identical. Don’t take my word for it. Listen to Warren Buffett, for no one has said it better: “The most that owners in the aggregate can earn between now and Judgment Day is what their business in the aggregate earns.” Illustrating the point with Berkshire Hathaway, the publicly owned investment company he has run for more than 40 years, Buffett says, “When the stock temporarily over-performs or under-performs the business, a limited number of shareholders—either sellers or buyers—receive out-sized benefits at the expense of those they trade with. *[Buf] over time, the aggregate gains made by Berkshire shareholders must of necessity match the business gains of the company.*” [emphasis added]

Put another way, as Buffett’s great mentor Benjamin Graham once pointed out, “In the short run the stock market is a *voting* machine . . . [but] in the long run it is a *weighing* machine.” But we must take Buffett’s obvious truism—and Mr. Graham’s—one step further. For while “the aggregate gains made by Berkshire shareholders must of necessity match the business gains of the company,” the aggregate gains or losses by the sellers and buyers—even though they are trading back and forth with one another in what is pretty much a closed circle—do not balance out evenly. As a group, investors capture Berkshire’s return; as a group, speculators do not.

A Giant Distraction